THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

ANSWER KEY & MARKING SCHEME SET 1

Chapter 13: **Managing Your Personal Finances (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(c)** Rs 3,000	500 x 6
2	**(c)** control spending	Planning
3	**(c)** taxes	Revenue
4	**(c)** deducted from salary	TDS idea
5	**(a)** professionals	Fund managers
6	**(d)** insurance	Policy
7	**(d)** saving	Small savings
8	**(b)** interest	Cost of borrowing
9	**(a)** income	Salary
10	**(a)** financial loss	Risk

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Compulsory payment to government (1); Funds public services (1).	1+1
12	Part of a company (1); Gives dividends (1).	1+1
13	Money received for work or goods (1); Salary, rent, profit (1).	1+1
14	BSE index (1); 30 companies (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	FD (1); Bonds (1); Shares (1).	1+1+1
16	GST (1); Customs (1); Excise (1).	1+1+1
17	PPF (1); NSC (1); Sukanya Samriddhi (1).	1+1+1
	OR: Health (1); Life (1); General (1).	1+1+1
18	Less savings (1); Debt (1); Stress (1).	1+1+1
	OR: Job loss (1); Illness (1); Inflation (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Compulsory (1); Direct (1); Indirect (1); Uses (1); Progressive (1).	1+1+1+1+1
	OR: Productive loans (1); Unproductive loans (1); EMI meaning (1); Fridge example (1); Caution (1).	1+1+1+1+1
20	Low risk low return (1); High risk high return (1); FD vs shares (1); Time horizon (1); Liquidity (1).	1+1+1+1+1
	OR: Meaning (1); Premium (1); Health (1); Life (1); General (1).	1+1+1+1+1

Mistakes to avoid:

- Simple interest is on the principal only: SI = P x R x T/100. Compound interest is on principal **and** earlier interest, so it is larger over 2 or more years.
- The five pillars are income, budgeting, saving, investing and protection; exports are not one of them.
- GST is an **indirect** tax (on goods and services); income tax is a direct tax. In a progressive system higher incomes pay higher rates.
- An EMI purchase costs **more** than the price: total paid = EMI x number of months (e.g. 12 x 3,000 = 36,000 for a 30,000 fridge).
- Inflation is a rise in prices, which lowers purchasing power; money kept idle in cash loses value over time.
- Higher risk goes with higher possible return and fixed deposits are low-risk; a premium is paid for insurance and a SENSEX is an index of the BSE.

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

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ANSWER KEY & MARKING SCHEME SET 2

Chapter 13: **Managing Your Personal Finances (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(d)** Salary	Earnings
2	**(a)** want	Optional
3	**(c)** cost of borrowing	Extra money
4	**(c)** essentials	Needs
5	**(d)** hospital bills	Medical cover
6	**(c)** index of the BSE	Market index
7	**(d)** goods and services	Indirect
8	**(a)** the family after the earner's death	Financial protection
9	**(a)** principal and earlier interest	Compound
10	**(d)** budgeting	Budget

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Monthly loan repayment (1); Fixed amount (1).	1+1
12	Cost of borrowing (1); Paid on loan (1).	1+1
13	Keeping money aside (1); For future (1).	1+1
14	Plan for spending (1); Matches income and expense (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Diversification (1); Experts (1); Small amounts (1).	1+1+1
16	Income tax (1); Corporate tax (1); Capital gains (1).	1+1+1
17	List expenses (1); Set goals (1); Review (1).	1+1+1
	OR: Schools (1); Hospitals (1); Roads (1).	1+1+1
18	Emergencies (1); Future goals (1); Investments (1).	1+1+1
	OR: Food (1); Rent (1); Education (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Slabs (1); Standard deduction (1); Taxable income (1); Budget (1); CBDT (1).	1+1+1+1+1
	OR: Bhavisha and Dhruv (1); Compounding (1); Time (1); Flat then steep (1); Lesson (1).	1+1+1+1+1
20	Meaning (1); Income (1); Budgeting (1); Saving and investing (1); Protection (1).	1+1+1+1+1
	OR: Meaning (1); Purchasing power (1); Example Rs 1,000 to Rs 1,060 (1); Investment (1); Savings (1).	1+1+1+1+1

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ANSWER KEY & MARKING SCHEME SET 3

Chapter 13: **Managing Your Personal Finances (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(d)** 1 April	Indian financial year
2	**(b)** bank	Deposit
3	**(a)** savings	Saving
4	**(c)** savings for sudden needs	Safety
5	**(c)** government	Tax
6	**(c)** original amount	Sum lent
7	**(d)** long-term savings scheme	Safe
8	**(a)** fixed interest	Assured
9	**(c)** lose purchasing power	Prices rise
10	**(b)** company	Equity

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Lump sum in bank (1); Fixed rate (1).	1+1
12	Borrowed money (1); Repaid with interest (1).	1+1
13	Insurance payment (1); Paid regularly (1).	1+1
14	Indirect tax (1); On goods and services (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Higher prices (1); Lower buying power (1); Lower real return (1).	1+1+1
16	Salary (1); Business profit (1); Interest (1).	1+1+1
17	Regular interest (1); Fixed term (1); Issuer pays back (1).	1+1+1
	OR: Ownership (1); Dividends (1); Risk (1).	1+1+1
18	Fixed rate (1); Fixed period (1); Low risk (1).	1+1+1
	OR: Control (1); Savings (1); Goals (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Identify expenses (1); Set goal (1); Track (1); Review (1); Example (1).	1+1+1+1+1
	OR: FD (1); PPF (1); Bonds (1); Shares (1); Mutual funds (1).	1+1+1+1+1
20	Formula (1); Year 1: 11,000 (1); Year 2: 12,100 (1); Interest 2,100 (1); Meaning (1).	1+1+1+1+1
	OR: Difference (1); Examples (1); Returns (1); Risk (1); Goals (1).	1+1+1+1+1

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